

The Inference

AI POLICY INTELLIGENCE BRIEF

Issue 5 • March 17–26, 2026 • The Two Pipelines

THE LEAD

The Two Pipelines

Oklahoma's 2026 legislature is simultaneously building an AI governance framework and a geothermal energy transition framework — in separate committees, by separate authors, with zero cross-reference. The convergence is the opportunity. And it is entirely unoccupied.

In the last 120 days, this state has produced a Chief AI Officer, an AI Bill of Rights, child chatbot protection laws, deepfake election bans, mandatory government AI inventories, insurance AI disclosure rules, an anti-AI-personhood bill, data center infrastructure legislation, and a bipartisan well repurposing act for geothermal conversion. Twelve AI bills. Two energy transition bills. One appointment. Zero coordination between them.

**12 AI bills + 2 energy bills + 1 Chief
AI Officer**

Nobody has connected them. Every AI governance bill addresses digital risks. Every energy bill addresses physical infrastructure. The gap between them — where AI tools could solve physical infrastructure problems, and where infrastructure policy should anticipate AI-driven demand — is where Oklahoma's opportunity lives.

GOVERNANCE

Child Chatbot Protection Bill Advances Unanimously

RADIO OKLAHOMA NEWS • MARCH 24, 2026

SB 1521, authored by Sen. Warren Hamilton (R-McCurtain), passed the Senate Technology and Telecommunications Committee 8-0. The bill requires state-issued ID verification for minors interacting with AI chatbots — not self-reported age. It bans AI features that expose minors to explicit content, coerce self-harm, or simulate romantic relationships. Accounts must be frozen until age is verified. Violations carry penalties up to \$100,000 per incident.

8—0

Unanimous committee vote. Oregon passed a similar bill this month with private right of action. Oklahoma legislators should assess whether SB 1521's enforcement mechanism is strong enough, or whether Oregon's model offers a better template.

ENERGY

Well Repurposing Act Passes House 85—6, Moves to Senate

OK ENERGY TODAY • KFOR • KOSU • OKLAHOMAMINERALS.COM • MARCH 16—23, 2026

HB 3173, authored by Nick Archer (R-Elk City) and John Waldron (D-Tulsa), creates a framework for converting abandoned oil and gas wells to geothermal energy production or underground energy storage. Holly George, OCC Chief Financial Officer, testified that at current plugging rates, it will take **235 years** to clear the backlog. The Oklahoma Corporation Commission or DEQ would oversee conversions. Senator Darcy Jech (R-Kingfisher) carries it in the Senate.

85—6

House vote. Bipartisan. Archer (R) + Waldron (D). Federal alignment is exceptional — Energy Secretary Chris Wright personally lobbied Congress to preserve geothermal tax credits through 2033, even as wind and solar subsidies were cut. The Sierra Club supports this bill. When Elk City Republicans and environmentalists agree on legislation, it deserves fast-track attention.

Data Center Infrastructure Bill Passes House 92–2

OK ENERGY TODAY • MARCH 2026

HB 2992 (Boles, R-Marlow) requires large-load data centers to pay their share of infrastructure costs rather than passing them to ratepayers. Distinct from HB 3917 (Dollens) on data center surcharges, but complementary — one addresses who pays for grid impact, the other structures the surcharge.

92–2

Near-unanimous. Combined with HB 3917, Oklahoma is establishing that data center growth must not come at community expense. The connection to geothermal is direct and unmentioned in either bill: wellhead power generation serves compute loads without touching the grid.

OU Tuttle Geothermal Project Paused by Federal Funding Freeze

KOSU STATEIMPACT OKLAHOMA • MARCH 19, 2026

The University of Oklahoma's first oil-to-geothermal conversion project at Tuttle — the only active project under the state's first geothermal permit — is paused, awaiting DOE approval to begin its next phase. Dr. Runar Nygaard, director of the Mewbourne School of Petroleum and Geological Engineering, told KOSU the project could not operate as deep as planned because no regulatory framework existed for geothermal well conversion in Oklahoma. HB 3173 solves that problem — but the bill is moving through the legislature while the research validating the approach is stalled by federal bureaucracy.

\$1.7M DOE grant — paused

The legislature is building rules for a technology that the state's own university cannot currently test. If federal funding is restored before HB 3173 is signed, the bill and the research validate each other simultaneously.

OKLAHOMA FOCUS

The 250-Degree Question

HB 3173 sets the geothermal classification threshold at 250 degrees Fahrenheit. Jeff McCaskill, director of the OU Tuttle project, told KOSU he worries this threshold may be too high for Oklahoma conditions.

He is right to worry. Oklahoma's geothermal gradient runs 22.8–25.3°C/km — not comparable to Nevada or California. Reaching 250°F generally requires depths exceeding 10,000 feet. Most of the state's abandoned wells do not reach this depth. Binary cycle ORC systems — the technology most likely deployed in converted Oklahoma wells — generate electricity at temperatures well below 250°F. The New Mexico law that HB 3173 is modeled on does not impose the same restriction.

If the Senate amends nothing else, it should examine this threshold. The difference between 250 degrees and 200 degrees is the difference between a law that enables a handful of deep wells and a law that enables thousands. Oklahoma has roughly 20,000 abandoned wells. The number qualifying at 250 degrees may be fewer than 3,500. Drop to 200 and the viable inventory could triple.

SIGNAL / NOISE

SIGNAL

Energy Secretary Wright's geothermal advocacy survived

NOISE

National AI personhood debates. Oklahoma's HB 3546 settled this

reconciliation. Wind and solar credits were cut. Geothermal was preserved through 2033. This is the clearest signal since the BIL that federal energy policy is shifting toward always-on, dispatchable renewables. Oklahoma is positioned to benefit — but only if HB 3173 passes with a workable temperature threshold and the Tuttle research is unfrozen.

quickly and correctly — machines are not legal persons, liability stays with creators and operators. The philosophical arguments getting cable news coverage are not moving policy anywhere. Oklahoma already acted. Move on.

BY THE NUMBERS

235

Years to plug all abandoned wells at current rates. OCC CFO Holly George, legislative testimony. The number that should be on every energy committee wall.

85—6

House vote on the Well Repurposing Act (HB 3173). Bipartisan. Archer (R) + Waldron (D). The kind of margin that signals consensus, not controversy.

92—2

House vote on data center infrastructure costs (HB 2992). Boles (R). Near-unanimous.

12

AI-related bills filed in the 2026 Oklahoma legislative session. More than most states produce in a full term.

250°F

The geothermal temperature threshold in HB 3173 that OU researchers say may be too high for most Oklahoma wells. The amendment that could determine whether the law matters.

\$4.7 billion

Federal orphan well remediation funding under the Bipartisan Infrastructure Law. Must be committed. Characterization data could redirect funds from plugging to productive conversion.

2033

Year through which geothermal investment tax credits are preserved. Wind and solar credits were cut. Geothermal survived.

FROM THE ANALYSTS

Oklahoma is building two pipelines this session. One is made of legislation — twelve AI bills governing transparency, child safety, deepfakes, insurance algorithms, data center impacts, and the legal status of artificial minds. The other is made of wellbore casing — a bipartisan framework for converting a century of abandoned oil infrastructure into geothermal energy.

Neither pipeline knows the other exists.

The AI governance bills are moving through Government Modernization and Technology. The well bill came through Energy. The data center bills involve Utilities. The Chief AI Officer reports to the

CIO. There is no mechanism for these threads to be woven together. No committee has asked how AI site assessment tools could screen 22,000 well records to identify conversion candidates. No bill connects the AI transparency framework to infrastructure monitoring. No hearing has mentioned that the data center power demand HB 3917 addresses could be served by the wellhead power HB 3173 enables.

That convergence is the opportunity. And it belongs to whoever sees it first.

— *David & Æ*

The Inference is an independent AI policy intelligence brief produced by
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